

# Final Mock Exam — Set C — Solutions

## Lectures 1–12 (comprehensive)

Prof. Dr. Christoph Weisser

Quantitative Research Methods · HSBI

Summer Semester 2026

# Overview of the final mock exam — Set C

| Problem  | Topic                                       | Lecture slides                              | Points |
|----------|---------------------------------------------|---------------------------------------------|--------|
| P1       | Moving beyond linearity — splines           | Ch. 7 — Moving Beyond Linearity (Lecture 9) | 16     |
| P2       | Generalised additive models                 | Ch. 7 — Moving Beyond Linearity (Lecture 9) | 8      |
| P3       | Trees by hand (regression & classification) | Ch. 8 — Tree-Based Methods (Lecture 10)     | 20     |
| P4       | Ensembles — bagging, RF, boosting           | Ch. 8 — Tree-Based Methods (Lecture 10)     | 16     |
| P5       | Neural networks by hand                     | Ch. 10 — Deep Learning (Lecture 11)         | 20     |
| P6       | Multiple testing                            | Ch. 13 — Multiple Testing (Lecture 12)      | 20     |
| P7       | Cumulative essentials                       | Ch. 2–6 (Lectures 1–8)                      | 20     |
| $\Sigma$ |                                             |                                             | 120    |

## Exam conditions

120 minutes for 120 points ( $\approx 1$  point per minute). Allowed aids: non-programmable calculator and one handwritten A4 sheet (both sides). All required constants (e-powers and logs) are given in the problems. Justify every answer.

# Problem 1 — task

## Problem 1 (16 P) — Moving beyond linearity

*Lecture slides: Chapter 7 — Moving Beyond Linearity (Lecture 9).*

- (a) [4 P] How many degrees of freedom does a cubic spline with  $K$  interior knots use? Justify by counting the parameters of the pieces and subtracting the knot constraints; evaluate for  $K = 3$ .
- (b) [4 P] Degrees of freedom of a *natural* cubic spline with the same  $K = 3$  knots; which extra constraint acts where, and why is it useful?
- (c) [4 P] Smoothing spline  $\sum_i (y_i - g(x_i))^2 + \lambda \int g''(t)^2 dt$ : role of the two terms; behaviour of  $\hat{g}$  as  $\lambda \rightarrow 0$  and  $\lambda \rightarrow \infty$ .
- (d) [4 P] Truncated-power basis of a cubic spline with one knot  $\xi$ ; define  $(x - \xi)_+^3$ ; why does adding it keep the fit smooth at  $\xi$ ?

## Problem 1 — solution (a): df of a cubic spline

### Solution P1(a) — degrees of freedom of a cubic spline

**Step 1 — count the free parameters.**  $K$  interior knots split the range of  $X$  into  $K + 1$  sub-intervals; on each the fit is a *separate* cubic with 4 coefficients:

$$\underbrace{(K + 1)}_{\text{pieces}} \times \underbrace{4}_{\text{coeffs/piece}} = 4(K + 1) = 4K + 4 \quad \text{parameters.}$$

**Step 2 — subtract the knot constraints.** At each knot the two adjacent cubics agree in value, first and second derivative ( $g, g', g''$  continuous): 3 per knot,  $3K$  in total.

$$\text{df} = 4(K + 1) - 3K = 4K + 4 - 3K = K + 4 \quad \implies \quad K = 3 : \text{df} = 3 + 4 = 7.$$

#### Basis cross-check

Basis  $\{1, x, x^2, x^3\}$  plus one truncated power per knot:  $4 + K = 4 + 3 = 7$  — same count.

## Problem 1 — solution (b): natural cubic spline

### Solution P1(b) — df of a natural cubic spline

**Extra constraint.** A *natural* cubic spline is additionally required to be *linear beyond the two boundary knots*, i.e. in the outer regions  $X < \xi_1$  and  $X > \xi_K$ .

**Cost of the constraint.** Linearity forces the quadratic *and* cubic terms to vanish in each outer region — 2 parameters removed per boundary region,  $2 \times 2 = 4$  in total:

$$\text{df} = (K + 4) - 4 = K \quad \implies \quad K = 3 : \text{df} = 3.$$

**Where it acts and why it is useful.** The constraint bites only in the two tails, exactly where the data are sparse and ordinary splines/polynomials are most erratic. Forcing linearity there lowers the *variance* of predictions at and beyond the boundary knots, at the price of a little extra bias — a favourable trade near the edges.

## Problem 1 — solution (c): smoothing spline

### Solution P1(c) — roles of the two terms and the limits

$$\hat{g} = \arg \min_g \underbrace{\sum_{i=1}^n (y_i - g(x_i))^2}_{\text{RSS: fidelity to the data}} + \lambda \underbrace{\int g''(t)^2 dt}_{\text{roughness (curvature) penalty}}.$$

The RSS rewards fitting the points;  $\int g''(t)^2 dt$  measures total curvature (wiggleness);  $\lambda \geq 0$  tunes the trade-off.

- $\lambda \rightarrow 0$ : the penalty disappears  $\Rightarrow \hat{g}$  can be arbitrarily wiggly and *interpolates* every training point (training RSS = 0, severe overfitting; effective df  $\rightarrow n$ ).
- $\lambda \rightarrow \infty$ : any curvature is infinitely expensive  $\Rightarrow g'' \equiv 0$  is enforced  $\Rightarrow \hat{g}$  is the *least-squares straight line* (effective df  $\rightarrow 2$ ).

In between,  $\lambda$  (chosen e.g. by LOOCV) drives the effective df smoothly from  $n$  down to 2.

## Problem 1 — solution (d): truncated-power basis

### Solution P1(d) — one-knot cubic spline

**Representation** (single knot at  $\xi$ ):

$$f(x) = \beta_0 + \beta_1 x + \beta_2 x^2 + \beta_3 x^3 + \beta_4 (x - \xi)_+^3, \quad (x - \xi)_+^3 = \begin{cases} (x - \xi)^3, & x > \xi \\ 0, & x \leq \xi. \end{cases}$$

**Why the smoothness at  $\xi$  survives.** Evaluate the added function and its derivatives at the knot (from the right,  $x \downarrow \xi$ ):

$$(x - \xi)_+^3|_{\xi} = 0, \quad 3(x - \xi)_+^2|_{\xi} = 0, \quad 6(x - \xi)_+|_{\xi} = 0.$$

Value, first and second derivative are all 0 at  $\xi$ , so adding  $\beta_4(x - \xi)_+^3$  leaves  $f, f', f''$  continuous there; only the *third* derivative jumps (by  $6\beta_4$ ). That is exactly the defining smoothness of a cubic spline.

## Problem 2 — task

### Problem 2 (8 P) — Generalised additive models

*Lecture slides: Chapter 7 — Moving Beyond Linearity (Lecture 9).*

- (a) [3 P] General form of a GAM for quantitative  $Y$ ; how does it generalise multiple linear regression?
- (b) [3 P] One advantage concerning the interpretation of the  $f_j$ ; the main structural limitation — and its repair.
- (c) [2 P] Backfitting in one or two sentences.



## Problem 2 — solution (a): GAM model form

### Solution P2(a) — general form of a GAM

**General form** (quantitative response  $Y$ , predictors  $X_1, \dots, X_p$ ):

$$Y = \beta_0 + f_1(X_1) + f_2(X_2) + \dots + f_p(X_p) + \varepsilon = \beta_0 + \sum_{j=1}^p f_j(X_j) + \varepsilon,$$

where each  $f_j$  is a smooth (possibly non-linear) function of a single predictor — e.g. a natural or smoothing spline, or a local regression.

**How it generalises multiple linear regression.** MLR is the special case in which every  $f_j$  is forced to be linear:

$$f_j(X_j) = \beta_j X_j \implies Y = \beta_0 + \beta_1 X_1 + \dots + \beta_p X_p + \varepsilon.$$

A GAM relaxes this by letting each  $f_j$  be an arbitrary smooth curve, while keeping the *additive* structure (the predictor effects still simply add up).

## Problem 2 — solution (b): advantage and limitation

### Solution P2(b) — interpretability vs. no interactions

**Advantage (interpretability).** Because the model is additive, the contribution of each predictor is a single function  $f_j$  that can be *plotted and read on its own* (one panel per predictor), holding the others fixed. A non-linear effect is therefore as easy to communicate as a row in a coefficient table.

**Structural limitation.** The additive form allows *no interactions*: the shape of  $X_j$ 's effect cannot depend on the value of  $X_k$ , so any genuinely synergistic effect is missed.

**Repair.** Add interaction components by hand — e.g. a product term  $\beta_{jk}X_jX_k$  or a two-dimensional smooth surface  $f_{jk}(X_j, X_k)$  — as an extra term in the model.

## Problem 2 — solution (c): backfitting

### Solution P2(c) — the backfitting algorithm

**Idea.** Fit the  $p$  functions *one at a time*, each time treating the others as known, and iterate.

**One pass.** Cycle through  $j = 1, \dots, p$  and re-fit  $f_j$  with a smoother (e.g. a spline) to the *partial residuals*

$$r_i^{(j)} = y_i - \beta_0 - \sum_{k \neq j} f_k(x_{ik}), \quad i = 1, \dots, n,$$

i.e. the response with every *other* current fitted effect removed.

**Iterate** the cycle until the fitted functions  $f_j$  stop changing (convergence). This sidesteps having to estimate all  $p$  smooth functions simultaneously.

## Problem 3 — task

### Problem 3 (20 P) — Trees by hand

*Lecture slides: Chapter 8 — Tree-Based Methods (Lecture 10).*

Delivery vans  $x$  and parcels delivered  $y$  (1,000) for  $n = 6$  depots; one split at  $s$ :  $R_1 = \{x < s\}$  and  $R_2 = \{x \geq s\}$  with region-mean predictions.

| $i$             | 1 | 2 | 3 | 4 | 5  | 6  |
|-----------------|---|---|---|---|----|----|
| $x_i$ (vans)    | 1 | 2 | 3 | 4 | 5  | 6  |
| $y_i$ (parcels) | 3 | 5 | 4 | 9 | 11 | 10 |

(a) **[8 P]** Evaluate the cutpoints  $s = 2.5$  and  $s = 3.5$  by total RSS; which is chosen? (b) **[2 P]** Using the chosen split  $s = 3.5$  from (a), predict for a new depot with  $x = 5$  vans. (c) **[6 P]** Node with 5 “Electronics” / 3 “Clothing” / 1 “Books”: proportions; Gini; entropy ( $\ln \frac{5}{9} = -0.5878$ ;  $\ln \frac{1}{3} = -1.0986$ ;  $\ln \frac{1}{9} = -2.1972$ ); predicted class. (d) **[4 P]** Cost-complexity pruning: role of  $\alpha$  in  $\sum_m \sum_{i \in R_m} (y_i - \hat{y}_{R_m})^2 + \alpha |T|$ .

## Problem 3 — solution (a): cutpoint $s = 2.5$

### Solution P3(a) part 1 — evaluate $s = 2.5$

**Reference (root node).**  $\bar{y} = \frac{3+5+4+9+11+10}{6} = \frac{42}{6} = 7$ ; root RSS =  $\sum_i (y_i - 7)^2 = 16+4+9+4+16+9 = 58$ .

**Split at  $s = 2.5$ :**  $R_1 = \{x_i < 2.5\} = \{1, 2\}$ ,  $R_2 = \{x_i \geq 2.5\} = \{3, 4, 5, 6\}$ .

$$\hat{y}_{R_1} = \frac{3+5}{2} = 4, \quad \hat{y}_{R_2} = \frac{4+9+11+10}{4} = \frac{34}{4} = 8.5.$$

$$\text{RSS}_{R_1} = (3 - 4)^2 + (5 - 4)^2 = 1 + 1 = 2,$$

$$\begin{aligned} \text{RSS}_{R_2} &= (4 - 8.5)^2 + (9 - 8.5)^2 + (11 - 8.5)^2 + (10 - 8.5)^2 \\ &= 20.25 + 0.25 + 6.25 + 2.25 = 29, \end{aligned}$$

$$\implies \text{RSS}(2.5) = 2 + 29 = 31.$$

## Problem 3 — solution (a): cutpoint $s = 3.5$ and the choice

### Solution P3(a) part 2 — evaluate $s = 3.5$ and decide

**Split at  $s = 3.5$ :**  $R_1 = \{1, 2, 3\}$ ,  $R_2 = \{4, 5, 6\}$ .

$$\hat{y}_{R_1} = \frac{3+5+4}{3} = \frac{12}{3} = 4, \quad \hat{y}_{R_2} = \frac{9+11+10}{3} = \frac{30}{3} = 10.$$

$$\text{RSS}_{R_1} = (3 - 4)^2 + (5 - 4)^2 + (4 - 4)^2 = 2, \quad \text{RSS}_{R_2} = (9 - 10)^2 + (11 - 10)^2 + (10 - 10)^2 = 2, \\ \implies \text{RSS}(3.5) = 2 + 2 = 4.$$

| $s$ | $\hat{y}_{R_1}$ | $\hat{y}_{R_2}$ | total RSS |
|-----|-----------------|-----------------|-----------|
| 2.5 | 4               | 8.5             | 31        |
| 3.5 | 4               | 10              | 4         |

Recursive binary splitting is *greedy* and picks the smallest RSS:  $s = 3.5$  ( $4 \ll 31$ ; in fact the best of all five cutpoints), cleanly separating the low-volume depots (mean 4) from the high-volume depots (mean 10).

## Problem 3 — solution (b): prediction for a new depot

### Solution P3(b) — predict for $x = 5$ vans

Use the chosen split  $s = 3.5$  and locate the new depot:

$$x = 5 \geq 3.5 \implies \text{region } R_2 = \{x \geq 3.5\}.$$

The tree predicts the region mean of  $R_2$ :

$$\hat{y} = \hat{y}_{R_2} = 10 \implies 10\,000 \text{ parcels.}$$

#### Reading a regression tree

A single-split regression tree is a step function: every  $x \geq 3.5$  gets the same prediction  $\hat{y}_{R_2} = 10$ , regardless of how far above 3.5 it lies.

## Problem 3 — solution (c): Gini and entropy

### Solution P3(c) — impurity of a 3-class node

Counts: 5 Electronics, 3 Clothing, 1 Books ( $n = 9$ ). Proportions:

$$\hat{p}_E = \frac{5}{9}, \quad \hat{p}_C = \frac{3}{9} = \frac{1}{3}, \quad \hat{p}_B = \frac{1}{9}.$$

**Gini**  $G = \sum_k \hat{p}_k(1 - \hat{p}_k)$ :

$$G = \frac{5}{9} \cdot \frac{4}{9} + \frac{3}{9} \cdot \frac{6}{9} + \frac{1}{9} \cdot \frac{8}{9} = \frac{20+18+8}{81} = \frac{46}{81} = 0.568.$$

**Entropy**  $D = -\sum_k \hat{p}_k \ln \hat{p}_k$  (using  $\ln \frac{5}{9} = -0.5878$ ,  $\ln \frac{1}{3} = -1.0986$ ,  $\ln \frac{1}{9} = -2.1972$ ):

$$D = -\left(\frac{5}{9}(-0.5878) + \frac{1}{3}(-1.0986) + \frac{1}{9}(-2.1972)\right) = 0.3266 + 0.3662 + 0.2441 = 0.937.$$

**Predicted class:** the majority, **Electronics** ( $\hat{p}_E = 5/9 \approx 0.556$ ). Both  $G$  and  $D$  vanish for a pure node; here they are large because no class dominates.



## Problem 3 — solution (d): cost-complexity pruning

### Solution P3(d) — role of $\alpha$

$$\min_{T \subseteq T_0} \underbrace{\sum_{m=1}^{|T|} \sum_{i: x_i \in R_m} (y_i - \hat{y}_{R_m})^2}_{\text{training RSS of } T} + \alpha \underbrace{|T|}_{\# \text{leaves}}.$$

$\alpha \geq 0$  is the *price per terminal node*, trading fit against complexity:

- $\alpha = 0$ : the criterion is just the training RSS  $\Rightarrow$  the full tree  $T_0$  wins (nothing is pruned).
- $\alpha \uparrow$ : each extra leaf must “pay for itself”; a branch is pruned once its RSS reduction falls below its cost  $\Rightarrow$  a *nested sequence* of ever-smaller subtrees (weakest-link pruning).

**Choosing  $\alpha$ :** by *cross-validation* — pick the  $\alpha$  with the smallest CV error, then refit that subtree on all the data. This balances bias against variance rather than merely minimising training error.

## Problem 4 — task

### Problem 4 (16 P) — Ensembles

*Lecture slides: Chapter 8 — Tree-Based Methods (Lecture 10).*

- (a) [6 P]  $B$  identically distributed trees with variance  $\sigma^2$  and pairwise correlation  $\rho$ :  
 $\text{Var}\left(\frac{1}{B} \sum_b \hat{f}_b(x)\right) = \rho\sigma^2 + \frac{1-\rho}{B}\sigma^2$ . (i) Why does this show variance reduction and what limits it? (ii) Evaluate for  $B = 50$  and  $\rho = 0.4$  and  $\sigma^2 = 16$ ; compare with one tree. (iii) Limit as  $B \rightarrow \infty$ ?
- (b) [4 P] Random forests: modification at each split; recommended  $m$  for *regression* with  $p = 30$ ; using  $\text{Var} = \rho\sigma^2 + \frac{1-\rho}{B}\sigma^2$  from (a), why does it improve on bagging?
- (c) [4 P] Boosting: from a call `GradientBoostingRegressor(n_estimators=5000, learning_rate=0.01, max_depth=1)`, what does each argument control? The slow-learning idea.
- (d) [2 P] What does the OOB error estimate and why is it free?

## Problem 4 — solution (a): variance of the bagged average

### Solution P4(a) — reduction / evaluation / limit

$$\text{Var}\left(\frac{1}{B} \sum_{b=1}^B \hat{f}_b(x)\right) = \underbrace{\rho\sigma^2}_{\text{correlated part (floor)}} + \underbrace{\frac{1-\rho}{B}\sigma^2}_{\rightarrow 0 \text{ as } B \rightarrow \infty}.$$

(i) Averaging shrinks only the second term (the trees' *independent* variability) to 0; the first term  $\rho\sigma^2$  is free of  $B$ . Bootstrap trees share the same data and strong predictors, so  $\rho > 0$  — this correlated part cannot be averaged away and *limits* the reduction.

(ii) For  $B = 50$ ,  $\rho = 0.4$ ,  $\sigma^2 = 16$ :

$$\text{Var} = 0.4 \cdot 16 + \frac{1-0.4}{50} \cdot 16 = 6.4 + \frac{0.6 \cdot 16}{50} = 6.4 + 0.192 = 6.592,$$

vs.  $\sigma^2 = 16$  for a single tree — a reduction of  $\frac{16-6.592}{16} \approx 58.8\%$ .

(iii)  $B \rightarrow \infty$ :  $\text{Var} \rightarrow \rho\sigma^2 = 0.4 \cdot 16 = 6.4$  (the floor). More trees never overfit; they only stabilise the average.

## Problem 4 — solution (b): random forests

### Solution P4(b) — decorrelating the trees

**Modification.** At *each split*, only a fresh random subset of  $m$  of the  $p$  predictors is allowed as splitting candidates (bagging is the special case  $m = p$ ).

**Recommended  $m$  (regression):**  $m \approx p/3$ , so

$$p = 30 \implies m = \frac{30}{3} = 10.$$

**Why it beats bagging.** With bagging a dominant predictor heads the top split of nearly every tree  $\Rightarrow$  the trees look alike  $\Rightarrow \rho$  is high. Withholding it from  $\approx (p - m)/p$  of the split searches *decorrelates* the trees, i.e. lowers  $\rho$ . In  $\text{Var} = \rho\sigma^2 + \frac{1-\rho}{B}\sigma^2$ , a smaller  $\rho$  lowers the irreducible floor  $\rho\sigma^2$  — the part of the variance that averaging alone (bagging) can never remove.

## Problem 4 — solution (c): boosting parameters

### Solution P4(c) — the three tuning knobs and slow learning

`GradientBoostingRegressor(n_estimators=5000, learning_rate=0.01, max_depth=1):`

- `n_estimators = B` (*number of trees*): small trees added *sequentially*; unlike bagging, too large  $B$  can overfit  $\Rightarrow$  choose by CV (here 5000).
- `learning_rate =  $\lambda$`  (*shrinkage*, here 0.01): scales each new tree's contribution; a smaller  $\lambda$  learns slower and needs a larger  $B$ .
- `max_depth = d` (*splits per tree / interaction depth*, here 1): the complexity of each tree; stumps ( $d = 1$ ) give a purely additive model.

**Slow learning.** Each tree is fitted to the current *residuals*, and only the fraction  $\lambda$  of it is added. A small `learning_rate=0.01` with a large `n_estimators=5000` makes the model improve gradually, precisely where it still errs, instead of fitting hard in one step — which generalises better.

## Problem 4 — solution (d): out-of-bag error

### Solution P4(d) — what OOB estimates and why it is free

**Out-of-bag observations.** Each bootstrap sample omits on average about 1/3 of the observations (cf. P7(a): the excluded fraction  $\rightarrow e^{-1} \approx 0.368$ ). For a fixed observation, the trees whose bootstrap sample *missed* it never saw it in training.

**OOB error.** Predict each observation using *only* those trees, aggregate, and compare with the truth. The resulting error is a valid estimate of the **test error** of the bagged model.

**Why free.** It reuses the bootstrap's own by-product — no separate validation set and no cross-validation loop are needed. (For large  $B$  it is essentially equivalent to LOOCV.)

## Problem 5 — task

### Problem 5 (20 P) — Neural networks by hand

*Lecture slides: Chapter 10 — Deep Learning (Lecture 11).*

Input  $x = (2,3)$ ; hidden ReLU units  $g(z) = \max\{0,z\}$ ; linear output:

$$A_1 = g(-3 + 2x_1 + 1x_2) \quad A_2 = g(2 - 2x_1 - 1x_2) \quad f(x) = -2 + 3A_1 + 2A_2$$

- (a) **[8 P]** Forward pass step by step: pre-activations;  $A_1$  and  $A_2$ ; output  $f(x)$ . What did the ReLU do to unit 2 and why are non-linear activations essential?
- (b) **[6 P]** Logits  $z = (2.0, 0.0, -1.0)$ ; true class 2: all three softmax probabilities and the cross-entropy loss ( $e^2 = 7.389$ ;  $e^0 = 1.000$ ;  $e^{-1} = 0.368$ ;  $\ln 8.757 = 2.170$ ).
- (c) **[4 P]** Parameter count of a  $p = 6 \rightarrow k = 5 \rightarrow K = 3$  network with biases (show both layers).
- (d) **[2 P]** Conv layer:  $64 \times 64$  input;  $F = 3$ ;  $P = 1$ ;  $S = 2$ : output size via  $\lfloor (W - F + 2P)/S \rfloor + 1$ .

## Problem 5 — solution (a): forward pass

### Solution P5(a) — pre-activations / activations / output

Input  $x = (x_1, x_2) = (2, 3)$ . **Pre-activations:**

$$z_1 = -3 + 2 \cdot 2 + 1 \cdot 3 = -3 + 4 + 3 = 4, \quad z_2 = 2 - 2 \cdot 2 - 1 \cdot 3 = 2 - 4 - 3 = -5.$$

**ReLU activations**  $g(z) = \max\{0, z\}$ :

$$A_1 = g(4) = \max\{0, 4\} = 4, \quad A_2 = g(-5) = \max\{0, -5\} = 0.$$

**Output** (linear unit):

$$f(x) = -2 + 3A_1 + 2A_2 = -2 + 3 \cdot 4 + 2 \cdot 0 = -2 + 12 + 0 = 10.$$

**Comment.** The ReLU *switched unit 2 off* (its negative  $z_2$  is clipped to 0), so it contributes nothing here though it may for other inputs. Non-linearity is essential: with a linear  $g$  the network collapses into a single linear function of  $x$  regardless of depth — the ReLU is what lets hidden layers build flexible piecewise-linear surfaces.



## Problem 5 — solution (b): softmax and cross-entropy

### Solution P5(b) — probabilities and loss

Logits  $z = (2.0, 0.0, -1.0)$ . **Exponentiate and sum** (given  $e^2 = 7.389$ ,  $e^0 = 1.000$ ,  $e^{-1} = 0.368$ ):

$$e^{2.0} = 7.389, \quad e^{0.0} = 1.000, \quad e^{-1.0} = 0.368 \implies \sum_j e^{z_j} = 7.389 + 1.000 + 0.368 = 8.757.$$

**Softmax**  $\hat{p}_k = e^{z_k} / \sum_j e^{z_j}$ :

$$\hat{p}_1 = \frac{7.389}{8.757} = 0.844, \quad \hat{p}_2 = \frac{1.000}{8.757} = 0.114, \quad \hat{p}_3 = \frac{0.368}{8.757} = 0.042$$

(sum = 1.000 ✓). **Cross-entropy** at the true class 2 (given  $\ln 8.757 = 2.170$ ):

$$-\ln \hat{p}_2 = -\ln \frac{1.000}{8.757} = -(0 - \ln 8.757) = \ln 8.757 = 2.170.$$

The most probable class is 1 (0.844), but the loss is scored at the *true* class 2 (0.114) — hence the sizeable loss;  $\hat{p}_2 = 1$  would give loss 0.

## Problem 5 — solution (c): parameter count

### Solution P5(c) — parameters of a $6 \rightarrow 5 \rightarrow 3$ network

Each fully connected layer contributes  $(\text{inputs} \times \text{units})$  weights, plus one bias per unit:

| Layer                                             | Weights          | Biases | Parameters           |
|---------------------------------------------------|------------------|--------|----------------------|
| input $\rightarrow$ hidden ( $6 \rightarrow 5$ )  | $6 \cdot 5 = 30$ | 5      | $6 \cdot 5 + 5 = 35$ |
| hidden $\rightarrow$ output ( $5 \rightarrow 3$ ) | $5 \cdot 3 = 15$ | 3      | $5 \cdot 3 + 3 = 18$ |
| <b>total</b>                                      |                  |        | $35 + 18 = 53$       |

#### Don't forget the biases

A layer mapping  $a \rightarrow b$  units has  $ab$  weights *and*  $b$  biases; dropping the  $5 + 3 = 8$  biases would wrongly give 45.

## Problem 5 — solution (d): convolution output size

### Solution P5(d) — output feature-map size

Formula (per spatial dimension), with  $W = 64$ ,  $F = 3$ ,  $P = 1$ ,  $S = 2$ :

$$\left\lfloor \frac{W - F + 2P}{S} \right\rfloor + 1 = \left\lfloor \frac{64 - 3 + 2 \cdot 1}{2} \right\rfloor + 1 = \left\lfloor \frac{63}{2} \right\rfloor + 1 = \lfloor 31.5 \rfloor + 1 = 31 + 1 = 32.$$

The same holds in both dimensions  $\Rightarrow$  output feature map  $32 \times 32$ .

The stride  $S = 2$  roughly halves the  $64 \times 64$  input; the *floor* discards the fractional part ( $31.5 \rightarrow 31$ ) *before* the  $+1$  is added.

## Problem 6 — task

### Problem 6 (20 P) — Multiple testing

*Lecture slides: Chapter 13 — Multiple Testing (Lecture 12).*

- (a) **[4 P]**  $m = 40$  independent tests at  $\alpha = 0.05$ ; all nulls true: define and compute the FWER  $((0.95)^{40} = 0.1285)$ ; interpret.
- (b) **[7 P]** Six ordered  $p$ -values 0.001; 0.008; 0.011; 0.030; 0.041; 0.260 — FWER control at  $\alpha = 0.05$  with (i) Bonferroni and (ii) Holm; thresholds; rejected hypotheses; why is Holm never weaker than Bonferroni?
- (c) **[6 P]** Benjamini–Hochberg at  $q = 0.05$  on the same six  $p$ -values (0.001; 0.008; 0.011; 0.030; 0.041; 0.260): thresholds  $jq/m$ ; rejections; what exactly does FDR control guarantee?
- (d) **[3 P]** Confirmatory phase-III trial with  $m = 5$  pre-specified endpoints (one false positive  $\Rightarrow$  an ineffective drug approved): FWER or FDR? Justify.

## Problem 6 — solution (a): FWER

### Solution P6(a) — FWER for 40 independent tests

**Definition.** With  $V$  = number of true nulls that are falsely rejected,

$$\text{FWER} = \Pr(V \geq 1) = \Pr(\text{at least one Type I error}).$$

**Computation.** All 40 nulls true, tests independent, each at level 0.05:

$$\text{FWER} = 1 - \Pr(\text{no false rejection}) = 1 - (1 - 0.05)^{40} = 1 - (0.95)^{40} = 1 - 0.1285 = 0.8715.$$

**Interpretation.** Although each single test errs only 5% of the time, the chance of *at least one* spurious “discovery” among 40 unadjusted tests is about 87% — multiple testing without adjustment almost guarantees false findings.

## Problem 6 — solution (b): Bonferroni

### Solution P6(b) part 1 — Bonferroni at $\alpha = 0.05$

**Rule.** Reject  $H_{(j)}$  iff  $p_{(j)} \leq \frac{\alpha}{m} = \frac{0.05}{6} = 0.00833$  — the *same* threshold for every  $j$ .

| $j$             | 1     | 2     | 3     | 4     | 5     | 6     |
|-----------------|-------|-------|-------|-------|-------|-------|
| $p_{(j)}$       | 0.001 | 0.008 | 0.011 | 0.030 | 0.041 | 0.260 |
| $\leq 0.00833?$ | ✓     | ✓     | ×     | ×     | ×     | ×     |

$p_{(1)} = 0.001$  and  $p_{(2)} = 0.008$  pass;  $p_{(3)} = 0.011 > 0.00833$  fails.

$\implies$  reject  $H_{(1)}, H_{(2)}$  : **2 rejections.**

## Problem 6 — solution (b): Holm step-down

### Solution P6(b) part 2 — Holm and why Holm $\supseteq$ Bonferroni

**Rule.** Compare  $p_{(j)}$  with  $\frac{\alpha}{m-j+1}$  in order; *stop at the first failure* and reject everything before it.

| $j$              | 1       | 2      | 3      | 4           | 5      | 6      |
|------------------|---------|--------|--------|-------------|--------|--------|
| $p_{(j)}$        | 0.001   | 0.008  | 0.011  | 0.030       | 0.041  | 0.260  |
| $\alpha/(m-j+1)$ | 0.00833 | 0.0100 | 0.0125 | 0.0167      | 0.0250 | 0.0500 |
| decision         | ✓       | ✓      | ✓      | <b>stop</b> | —      | —      |

$0.001 \leq 0.00833$ ,  $0.008 \leq 0.0100$ ,  $0.011 \leq 0.0125$ , but  $0.030 > 0.0167 \Rightarrow$  stop: reject  $H_{(1)}, H_{(2)}, H_{(3)}$  — **3 rejections**.

**Holm  $\supseteq$  Bonferroni.** The hurdles satisfy  $\frac{\alpha}{m-j+1} \geq \frac{\alpha}{m}$  for all  $j$  (equality only at  $j = 1$ ), so Holm is uniformly more powerful yet still controls FWER without any independence assumption. Here it rejects one more ( $H_{(3)}$ ).

## Problem 6 — solution (c): Benjamini–Hochberg

### Solution P6(c) — BH at FDR level $q = 0.05$

**Rule.** Find the largest  $j$  with  $p_{(j)} \leq \frac{jq}{m} = \frac{j \cdot 0.05}{6}$ , then reject  $H_{(1)}, \dots, H_{(L)}$ .

| $j$                  | 1       | 2      | 3      | 4      | 5          | 6      |
|----------------------|---------|--------|--------|--------|------------|--------|
| $p_{(j)}$            | 0.001   | 0.008  | 0.011  | 0.030  | 0.041      | 0.260  |
| $jq/m$               | 0.00833 | 0.0167 | 0.0250 | 0.0333 | 0.0417     | 0.0500 |
| $p_{(j)} \leq jq/m?$ | yes     | yes    | yes    | yes    | <b>yes</b> | no     |

Largest passing index  $L = 5$  ( $0.041 \leq 0.0417$ ;  $0.260 > 0.0500$ )  $\Rightarrow$  reject  $H_{(1)}, \dots, H_{(5)}$  — **5 rejections** (most liberal: 5 vs. Holm 3, Bonferroni 2).

**Guarantee.**  $\text{FDR} = E\left[\frac{V}{\max(R, 1)}\right] \leq q = 0.05$ : *on average* at most 5% of rejections are false. It does *not* bound  $\Pr(V \geq 1)$  (that is FWER), nor guarantee  $\leq 5\%$  false among these particular 5.



## Problem 6 — solution (d): FWER or FDR?

### Solution P6(d) — confirmatory phase-III trial

**Recommendation: control the FWER.**

**Why.** This is a *confirmatory* study with only  $m = 5$  pre-specified endpoints, and a single false positive is catastrophic (an ineffective drug approved; patient harm; regulatory failure). FWER control (e.g. Holm at  $\alpha = 0.05$ ) bounds the probability of *any* false rejection at 5% — exactly the guarantee a regulator demands.

**Why not FDR.** FDR only limits the *expected proportion* of false endpoints and would tolerate an occasional false positive. That is fine for large exploratory screens, but not when each individual claim must stand on its own.

# Problem 7 — task

## Problem 7 (20 P) — Cumulative essentials

*Lecture slides: Chapters 2–6 (Lectures 1–8).*

- (a) **[4 P]** Bootstrap: (i) show  $\Pr(\text{obs. not in sample}) = (1 - 1/n)^n$  and its limit ( $e^{-1} = 0.368$ ); (ii) fraction included as  $n \rightarrow \infty$ ; (iii) exact inclusion probability for  $n = 5$  ( $0.8^5 = 0.328$ ).
- (b) **[4 P]** Bias–variance at  $x_0$  read from a pandas DataFrame — `flexible_spline`: `var= 3.5`, `bias= -1.0`, `noise_var= 2.0`; `linear_model`: `var= 0.5`, `bias= -2.5`, `noise_var= 2.0`. Expected test MSE of each; which to deploy; lowest achievable MSE?
- (c) **[3 P]** Elastic-net penalty: what does it inherit from lasso and from ridge? When does it clearly beat the lasso?
- (d) **[3 P]** Collinearity (corr. 0.95): effect on OLS estimates;  $VIF_j = 1/(1 - R_j^2)$  for  $R_j^2 = 0.9$  ( $\sqrt{10} = 3.162$ ).
- (e) **[6 P]** Match to {linear regression; lasso; logistic regression; random forest}, each once: (i)  $\Delta$ wage per school-year with CI ( $n = 3,000$ ); (ii) biomarker from 8,000 metabolites ( $n = 80$ ) with a short list; (iii) churn yes/no with odds for management; (iv) electricity demand from hundreds of interacting variables, accuracy only.

## Problem 7 — solution (a): bootstrap inclusion

### Solution P7(a) — inclusion probability

(i) In each of the  $n$  independent draws a fixed observation is *missed* with probability  $1 - \frac{1}{n}$ ; all  $n$  draws miss it with probability

$$\left(1 - \frac{1}{n}\right)^n \xrightarrow{n \rightarrow \infty} e^{-1} = 0.368.$$

(ii) Hence it is *included* with probability  $1 - e^{-1} = 1 - 0.368 = 0.632$ : on average about 63.2% of observations appear in a bootstrap sample (the other  $\approx 1/3$  are the out-of-bag observations).

(iii) For  $n = 5$ :

$$\text{Pr}(\text{included}) = 1 - \left(1 - \frac{1}{5}\right)^5 = 1 - 0.8^5 = 1 - 0.328 = 0.672.$$

## Problem 7 — solution (b): bias–variance decomposition

### Solution P7(b) — expected test MSE

Decomposition:  $\text{MSE} = \text{Var} + \text{Bias}^2 + \text{Var}(\varepsilon)$ . Reading each row of the DataFrame:

$$\text{MSE}_{\text{flexible\_spline}} = 3.5 + (-1.0)^2 + 2.0 = 3.5 + 1.0 + 2.0 = 6.5,$$

$$\text{MSE}_{\text{linear\_model}} = 0.5 + (-2.5)^2 + 2.0 = 0.5 + 6.25 + 2.0 = 8.75.$$

**Deploy** `flexible_spline` ( $6.5 < 8.75$ ): its higher variance (3.5 vs. 0.5) is more than offset by its much smaller squared bias (1.0 vs. 6.25).

**Lowest achievable MSE** = the irreducible error  $\text{Var}(\varepsilon) = \text{noise\_var} = 2.0$ ; no method can go below it.

## Problem 7 — solution (c): elastic net

### Solution P7(c) — elastic-net penalty

**Penalty** (a mix of  $\ell_2$  and  $\ell_1$ , for  $0 \leq \alpha \leq 1$ ):

$$\lambda \left[ \frac{1-\alpha}{2} \sum_j \beta_j^2 + \alpha \sum_j |\beta_j| \right].$$

**From the lasso ( $\ell_1$ ):** exact zeros  $\Rightarrow$  variable selection / sparsity.

**From ridge ( $\ell_2$ ):** graceful handling of correlated predictors, and the ability to select more than  $n$  variables when  $p > n$ .

**When it clearly beats the lasso:** with *groups of highly correlated predictors*. The lasso tends to keep one member of the group and drop the rest (essentially at random); the elastic net's ridge part shares the weight across the group and keeps them in or out together — the *grouping effect*.

## Problem 7 — solution (d): collinearity and VIF

### Solution P7(d) — effect on OLS and the VIF

**Effect on OLS.** Collinearity does *not* bias the estimates, but makes them *imprecise and unstable*: it inflates variances and standard errors, widens confidence intervals, and can make coefficients flip sign or lose significance (predictions may still be fine).

**VIF** for  $R_j^2 = 0.9$ :

$$\text{VIF}_j = \frac{1}{1 - R_j^2} = \frac{1}{1 - 0.9} = \frac{1}{0.1} = 10.$$

So  $\text{Var}(\hat{\beta}_j)$  is 10× larger than with an uncorrelated  $X_j$ , and its standard error is inflated by  $\sqrt{10} = 3.162$ .  
Rule of thumb:  $\text{VIF} > 5$ –10 signals problematic collinearity.

## Problem 7 — solution (e): matching methods to scenarios

### Solution P7(e) — each method used exactly once

- (i) **Linear regression** — quantitative response, goal is *inference* (effect size + CI),  $n = 3,000 \gg p$ : OLS with standard errors delivers exactly this.
- (ii) **Lasso** —  $p = 8,000 \gg n = 80$  makes OLS infeasible; the  $\ell_1$  penalty regularises and returns a short list of relevant metabolites.
- (iii) **Logistic regression** — binary response; coefficients give odds ratios  $e^{\hat{\beta}_j}$ , ideal for reporting how each characteristic changes the odds.
- (iv) **Random forest** — captures non-linearities and interactions among hundreds of predictors, accurate and robust; interpretability is not required, only forecast accuracy.